

crease their manufacturing capabilities,” says Asteria’s Mehta. Terming the scheme an unparalleled intervention, ideaForge’s Mehta adds, “[The scheme] tells you that you take your sales, subtract the purchases you have done from the rest of the world and the local market, and whatever value addition that you do as a business, 20 per cent of that gets returned to you. That’s a huge incentive in doing more development in-house.”

SCOPE FOR IMPROVEMENT

While the PLI scheme has been a major boost for manufacturers seeking to scale up their value production across the segment, DroneAcharya’s Srivastava feels it has room for tweaking. “Such schemes are meant to fast-track the current production processes that include a huge supply chain of drone-based electronic hardware and other small parts... [but] the scheme needs to address more granular issues to create a massive outcome.” For instance, even as India has witnessed the emergence of several players manufacturing drones for a variety of applications, critical components such as electronic chips, batteries, motors and other components continue to be imported. “Considering

the global supply chain constraints and geopolitical climate, we need to ensure that we have a robust component manufacturing ecosystem in India, which can make components for not only Indian drone manufacturers but global drone manufacturers as well,” says Asteria’s Mehta. He feels this can be solved over time by incentivising local component makers to scale their production through PLI schemes, leveraging capabilities in allied industries like electric vehicles and space, and creating drone manufacturing and testing clusters to encourage entrepreneurship and close partnerships.

Another concern is that tenders for drones put out by the government or private entities do not take into account the current capabilities of Indian drone manufacturers while designing specifications. “There is a need for realism to be built into the design. Many tenders invariably give specifications of companies from land-border countries, defeating the purpose of impetus towards AatmaNirbhar Bharat,” explains EY’s Singhal. He recommends greater regulatory oversight to correctly evaluate local content in drone manufacturing.

Other concerns are about addressing some yawning gaps. For instance, stakeholders across the drone eco-



Chacha-Kota, Banswara
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